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MBA (3rd Semester)

Examination, Nov. - Dec., 2013

Branch : Management

SERVICES MARKETING (NEW)

Time Allowed : Three Hours

Maximum Marks : 80

Minimum Pass Marks : 32

Note. : (i) Attempt all questions in Section–A, each question carry equal marks. Internal choices given.

(ii) Case study is compulsory in Section–B.

Section–A

Q. 1. What are the key service businesses in India ? What is their contribution to the growth of the service sector ? What are the prospects for educational services in India ? **12**

OR

Write short notes on any two :

(a) Services marketing triangle.

(b) Characteristics of services.

(c) Classification of services on the basis of end users.

Q. 2. How can consumer expectations be managed through external marketing ? Explain with suitable examples. **12**

OR

Write short notes on any two :

(a) Zone of tolerance

(b) Managing services demand and capacity.

(c) Waiting line strategies.

Q. 3. What are the main approaches adopted while pricing the services. Explain the factors affecting pricing decisions of services. **12**

OR

How can an effective Physical Evidence strategy help close provide Gap-II ? Explain.

Q. 4. Review the five dimensions of service quality. What do they mean in the context of : 12

(a) A Retail Bank

(b) An Educational Institute

(c) An Industrial Repair Shop

OR

Explain the concept of moment of truth and discuss the important elements in the management of moments of truth.

Q. 5. Discuss how relationship marketing is different from the traditional emphasis in marketing. 12

OR

What is the role of blue printing in designing, managing and redesigning service processes.

Section–B

Case Study 20

McDonald's in India

McDonald's is a leading international fast food restaurant chain with 30,000 restaurants spread across the globe. In India, it launched its operations in 1996 with two stores. In 2003, it had 54

restaurants with a daily inflow of 500,000 customers. It planned to add 15 more outlets by the end of 2004. As per the Informal Eating Out (IEO) survey involving the survey of branded food chains in India, conducted by A.C. Nielson, McDonald's was found to be the leader in fast food chains. Many factors can be attributed to the success of McDonald's Indian operations.

First, McDonald's has focussed on products and changed its menu to suit the tastes of Indian consumers. It launched India-specific items including McVeggie™ burger, McAloo Tikki™ burger

and Chicken McGrill™ burger. Considering Indian preferences and sensibilities, the company doesn't offer pork and beef items in India. It offers egg-less sandwich sauces for vegetarian customers; vegetarian items are prepared at the outlets.

On the pricing front, McDonald's has adopted customized pricing for each of the cities depending upon the tax structure, demand, and purchasing power of the population. However, to attract mass-market customers, it launched a new menu called the Happy Price Menu in which selected items were priced at INR 20 across all the outlets in the country.

As McDonald's is into the food business, establishing and efficient supply chain infrastructure is of great importance. McDonald's has, therefore, focused on setting up an efficient and elective supply chain. Its supply chain is three tiered, consisting of farms, processing plants, and distribution centres. The company has selected farmers who can meets its quality and supply standards and directly sources the produce from them. They are supported by McDonald's in terms of seed technology and the latest irrigation methods to enable them to obtain higher yields and better

produce. The next level of supply chain activities involves the processing of farm produce. For this, the company has tied up with various local suppliers like Vista Processed Foods Pvt. Ltd. a joint venture of OSI Industries Inc., USA, and McDonald's India Pvt. Ltd. that processes chicken and vegetarian food products at its plant situated at Taloja, Maharashtra. Dyna Mix Dairy supplies cheese, butter, ghee, and milk products and Amrit Food supplies long life UHT Milk and Milk products for Frozen Desserts from its fully automated plant situated at Ghaziabad, Uttar Pradesh. The next level

of supply chain activity is the distribution of processed food to the outlets. For this, the company has tied up with Radhakrishna Foodland which is into food products distribution. Foodland provides logistics support to McDonald's by providing cold storage facilities and transporting the processed foods to the outlets using temperature-controlled transport vehicles.

To maintain the service standards, the company has made it mandatory for personnel to undergo periodic training programmes. The core principles of McDonald's - quality, service,

cleanliness, and value (QSC & V) - guide its training programmes. The company's highly structured training programmes are conducted at four levels : Crew development programme, restaurant management programme, mid management programme, and executive development programme. Entry level workers are trained under the basic crew development programme. The training is conducted at each restaurant. Crew members are given on-the-job and off-the-job training. The next level of training is the management development programme. This training programme

is devised for the employees in the restaurant management team. The programme ranges from the basic level to the advanced level.

McDonald's has also focused on creating a right ambience in its outlets. The company has positioned its outlets as a restaurants that caters to the typical Indian family, and the physical environment reflects that image with the atmosphere being informal and bright. The outlets are spacious for kids to play around and families have the facility to conduct events like birthday parties. In addition, the outlets have been made

nonsmoking zones to reflect the sensibilities of Indian families. McDonald's also lays special emphasis on kids. The outlets have low counters for easy accessibility to kids. Besides, vibrant colours and theme-based paintings pleasing to kids have been used.

McDonald's has developed localized ads in line with the advertising strategy of the parent company. Localized ads with the punch line "I'm lovin it" were created. Humorous ads with the theme "What Your Bahana is" were developed to put the message across to the consumers. The protagonists in the ads cite weired reasons for

eating out at McDonald's. In addition, McDonald's also carries out various sales promotion activities to keep up the interest in the brand like offering toys and other accessories, and conducting contests.

Answer the following questions :

Q. 1. The services marketing mix consists of three additional elements like people, process, and physical evidence apart from the traditional marketing mix elements such as product, price, promotion and place. How was McDonald's able to utilize these additional three elements to market its services ?

Q. 2. The proliferation of western fast-food chains such as McDonald's, Pizza Hut, Sub-way, and Dominos in the Indian market has only been a recent phenomenon. What are the reasons that have contributed to the increased popularity of western fast-food chians in India ?